

1.

In a labour market dominated by a monopsonist, wages and employment are usually lower than in a competitive labour market. This is because a monopsonist

- A employs workers up to the point where the marginal revenue product of labour is equal to the wage rate.
- B is a monopoly supplier of labour.
- C equates the marginal revenue product of labour with its marginal cost not the wage rate.
- D restricts output to raise the price of the product sold.

☐☐☐☐

[1 mark]

2.

Using the data in **Extract D (Figure 1)**, calculate the mean female labour force participation rate for the five countries listed. Give your answer to **one** decimal place.

[2 marks]

3.

Trade Unions Extract C (lines 21–22) states that ‘....any negative economic effects of trade unions are outweighed by the positive effects of trade union activities...’.

Using the data in the extracts and your knowledge of economics, evaluate the view that trade unions protect the interests of workers and consequently improve the economic welfare of the society in which they operate.

[25 marks]

4.

Trade Unions Extract B (line 13) states that unions ‘counteract the monopsonistic demand for labour from powerful employers’.

With the help of a diagram, explain how the monopsonistic demand for labour from powerful employers is likely to affect wages and employment in a labour market where there are no trade unions.

[9 marks]

5.

Trade Unions

Extract C: Walmart and China

Some global companies are willing to negotiate with trade unions, whilst others try to avoid them. US company Walmart, the world's largest retailer and owners of Asda in the UK, has been known to stop operating in some countries rather than have to recognise unions. 1

With over a billion people and rising prosperity, China is an irresistible market for the world's largest manufacturers, distributors and retailers. Some of these large companies, such as Walmart, McDonald's and FedEx, have adopted an anti-union stance in the countries in which they operate. 5

In China, however, Walmart has signed 'collective bargaining' agreements with the All-China Federation of Trade Unions (ACFTU). The Federation has 193 million members and is a monopoly, given that no other trade unions are allowed to operate in China. Officially, signing the agreement was a voluntary action on Walmart's part. However, firms which refuse to sign such agreements are likely to face many difficulties in gaining access to Chinese markets. Walmart gets a say in the appointment of the trade union Chairman at its workplaces. This official invariably has close links with the Chinese government. So now, if Walmart's management in China wants to close stores, lay off employees, change workloads or amend working hours, it must consult ACFTU. In effect, this gives the Chinese government a say in the running of the business. 10 15

Some economists believe that trade unions, by threatening industrial action, can force up wages and make it difficult for management to adopt changes that improve productivity. This, they believe, reduces firms' competitiveness and, in the long run, leads to job losses. However, others argue that any negative economic effects of trade unions are outweighed by the positive effects of trade union activities in counteracting the monopsonistic power of large employers, and in preventing discrimination and exploitation. 20

Source: news reports, 2011

6.

Explain how the data in **Trade Unions Extract A** show the declining importance of trade unions in the UK labour market.

[4 marks]

7.

Trade Unions

Extract A: Trade union membership and density, UK, selected years 1995–2012

	1995	2000	2003	2006	2009	2012
Membership (number of employees, millions)	7.1	7.1	7.1	7.0	6.7	6.5
Density (total UK trade union membership as a % of all UK employees)	32.4	29.8	29.3	28.3	27.4	26.0

Source: contains public sector information licensed under the Open Government Licence v2.0

8.

Trade Unions

Extract B: Workers united?

In 1776, Adam Smith argued that business people often 'combined' (today we would say 'colluded') in order to fix prices and wages, while 'combinations' of workers were illegal. In his opinion there was an imbalance between the actions of employers and the rights of employees. In 1948, all members of the United Nations signed up to the Universal Declaration of Human Rights. Article 23 states: "Everyone has the right to form and to join trade unions for the protection of their interests." The Declaration also states that union membership cannot be made compulsory. 1

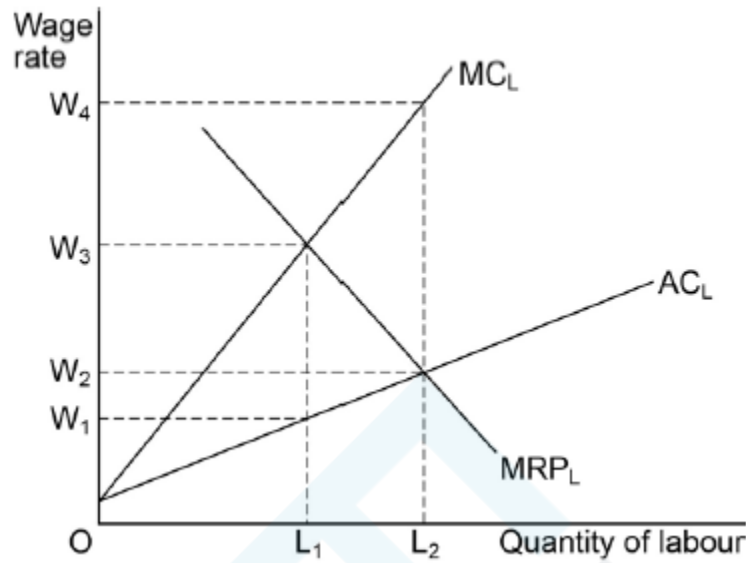
In the UK and in other modern democracies, most people would probably agree with the Australian Bureau of Statistics that a trade union is 'an organisation consisting predominantly of employees, the principal activities of which include the negotiation of rates of pay and conditions of employment for its members'. To an economist, a trade union replaces 'individual bargaining' with 'collective bargaining', which may enable workers to create a monopolistic supply of labour to counteract the monopsonistic demand for labour from powerful employers. 5

A prominent British trade union leader claimed recently that union membership was holding steady despite major economic difficulties, and advised workers worried about further shocks to the economy to join a union. He claimed that union members tended to be better paid than workers who are not part of a trade union but who do the same job. Union members earn on average nearly 17%, or £2 an hour, more than other workers. 10

Source: news reports, 2011

9.

The diagram below shows the Marginal Revenue Product of Labour (MRP_L), Marginal Cost of Labour (MC_L) and Average Cost of Labour (AC_L) curves in a market where there is a single employer but labour is supplied competitively.



The employer's profit-maximising wage rate and level of employment is a

- A wage of W_1 and employment of L_1 ☐
- B wage of W_2 and employment of L_2 ☐
- C wage of W_3 and employment of L_1 ☐
- D wage of W_4 and employment of L_2 ☐

[1 mark]

10.

Assuming a perfectly competitive labour market, a firm's demand curve for labour would be derived from its marginal

- A cost curve. ☐
- B revenue product curve. ☐
- C utility curve. ☐
- D revenue curve. ☐

[1 mark]

- 11.** 'The living wage is based on the amount an individual needs to earn to cover the basic costs of living and lead a "decent life".' (**Extract F**, lines 6 – 7).

Using the data and your knowledge of economics, assess whether the UK government should legislate to make the national minimum wage a living wage, or whether there are better ways of improving the earning power of the low paid.

[25 marks]

- 12.** **Inequality** **Extract E** (lines 6–7) states that 'growing inequality would create incentives, kick-start enterprise, boost growth and is good for us all'.

Using the data in the extracts and your economic knowledge, assess the view that inequality is 'good for us all.'

[25 marks]

- 13.** Explain the difference between 'equality' and 'equity' (**Extract E**, line 3), and, with the help of a diagram, analyse why, left to market forces, some workers will earn very low wages.

[9 marks]

- 14.** **Inequality**

Extract E: In favour of inequality

The way in which society's resources are distributed has long been of major concern to economists, directly affecting as it does the level of social welfare. Changes in the size and distribution of national output raise important questions of efficiency and also involve basic issues of equality. However, what is equitable is a matter of considerable debate amongst economists of different political persuasions. 1
5

It has been argued by the supporters of free-market capitalism that growing inequality would create incentives, kick-start enterprise, boost growth and is good for us all. Free market economists would argue that justice automatically arises from the interaction of demand and supply and the existence of competitive markets. In such a scenario, each factor receives what it is worth in terms of the value of its marginal revenue product. Disparities in income and wealth are justified by such factors as greater levels of innate or acquired skills which enable some factors to be more productive than others and earn a greater amount. Differences in the distribution of income and wealth are therefore viewed as inevitable and also desirable in that they provide the necessary incentives for individuals to study, train, supply their factor services and set up new businesses. These differences help the smooth operation of the price system and lead to an efficient resource allocation. 10
15

Moreover, an unequal distribution of income is seen as necessary to ensure economic efficiency and a faster growth rate – by making the rich richer, the size of the national cake, that is real GDP, will grow, and the benefits will trickle down to the less well off.

Source: News reports, November 2013

- 15.** Using **Extract D**, **Graph (i)**, calculate the Spanish minimum wage as a percentage of that of the Netherlands.

[2 marks]

- 16.** '75% of British workers had no idea of the importance of the EU in creating and guaranteeing many key rights at work' (**Extract F**, lines 5 – 7).

Evaluate, using the data and your knowledge of economics, whether governments should attempt to influence aspects of the labour market such as wage levels, wage differentials and working conditions, or whether such matters should be left to market forces.

[25 marks]

- 17.** Using a diagram, analyse how, according to economic theory, the wage rate is linked to a worker's marginal revenue product.

[9 marks]

- 18.** Calculate, to the nearest whole number, the ratio of Chief Executive Officer (CEO) pay to the pay of a worker on the minimum wage, using the data in **Extract D**, **Figure 1**.

[2 marks]

- 19.** The marginal revenue product of labour is the

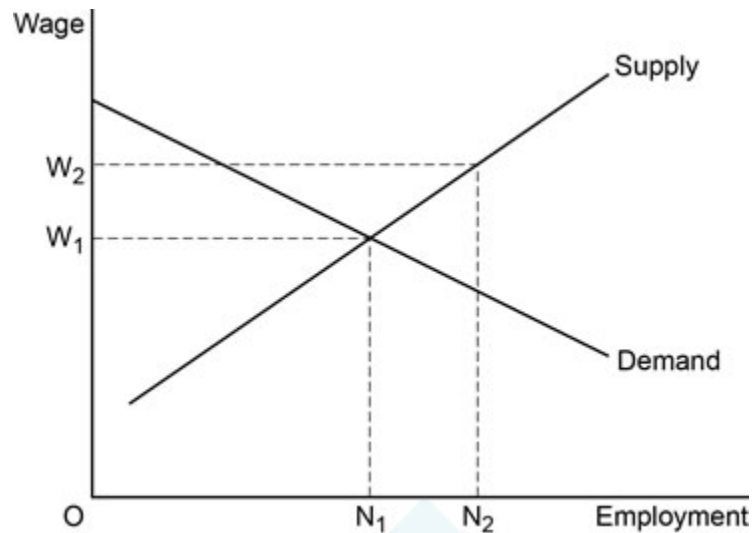
- A** addition to total revenue when the firm produces and sells an extra unit of output.
- B** amount produced per worker per time period.
- C** change in total output that is produced when one extra worker is employed.
- D** revenue gained by selling the extra output produced by employing one more worker.

☐☐☐☐

[1 mark]

20.

The diagram below shows the market for bricklayers.



The original equilibrium wage is W_1 and the number of bricklayers employed is N_1 . Which one of the following events is most likely to increase the wage paid to bricklayers to W_2 and increase employment to N_2 ?

- A A cut in bank rate leading to a fall in mortgage interest rates
- B A fall in the number of young people training as apprentice bricklayers
- C An improvement in working conditions in the construction industry
- D An increase in the wages paid to electricians in the construction industry

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☐
☐
☐

[1 mark]

21.

Attempts by governments to equalise incomes are well-intentioned but counter-productive. They destroy incentives for people to lift themselves out of poverty.

To what extent can the problem of poverty in the UK be solved through the operation of market forces? Justify your answer.

[25 marks]

22.

Between 2011 and 2016, UK unemployment fell from a high of 8.5% to 4.8%. Some argue that government attempts to reduce unemployment inevitably lead to trade-offs with other macroeconomic policy objectives.

Explain how government policies can reduce the natural rate of unemployment.

[15 marks]

23.

Extract F (lines 18–19) notes that ‘The UK Government recognises the need to raise aspirations and attainment for girls’.

Use the extracts and your knowledge of economics to evaluate the policies that government might use to reduce the gender pay gap.

[25 marks]

24.

Extract E (lines 22–23) states that ‘The tendency for women to participate in low-productivity sectors is now a bigger factor in their low pay than discrimination’.

With the help of a diagram, explain how the difference between the marginal revenue product of male and female workers might account for the lower average earnings of women.

[9 marks]

25.

Explain how the data in **Extract D (Figure 2)** show that the degree of inequality between the pay of male and female workers is falling.

[4 marks]